

D252

Accounting Research and Critical Thinking

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A staff accountant at a 70-person firm researching lease classification finds guidance in the FASB Codification, a large accounting firm's lease guide, and a popular accounting blog. Her manager recently passed the CPA exam. Which source is authoritative GAAP?

- A. The accounting firm's lease guide.
- B. The FASB Codification.
- C. Any source written by a CPA, such as her manager.
- D. All three, as long as they agree.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

A researcher finds that a FASB Concepts Statement and the Codification seem to point in different directions on an issue. Which governs?

- A. Neither; judgment always replaces written guidance.
- B. The Concepts Statement.
- C. The Codification.
- D. Whichever was issued more recently.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A public company with shareholders in 30 states is researching a revenue disclosure question. Its audit committee meets monthly. Besides the Codification, which source is also authoritative for this company?

- A. AICPA industry audit guides.
- B. SEC rules and interpretive releases.
- C. The audit committee's meeting minutes.
- D. IFRS standards.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A controller at a craft brewery with \$40 million in sales is asked how to account for a new customer loyalty program. She immediately types “loyalty points” into the Codification search box. The brewery opened a taproom last year. Which step did she skip?

- A. Checking an accounting blog first.
- B. Drafting the conclusion.
- C. Identifying the facts and framing the precise accounting issue before searching.
- D. None; searching first is always fastest.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

An accountant at a hospital network with nine facilities needs the disclosure requirements for a revenue topic. The network's revenue grew 6% last year. In the Codification, which section number holds disclosure requirements?

- A. Section 25.
- B. Section 10.
- C. Section 50.
- D. Section 45.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6. [TRANSFER — reversed stem / different variable]

A citation reads ASC 842-20-35-1. What does the “35” identify?

- A. The section on subsequent measurement.
- B. The subtopic.
- C. The paragraph.
- D. The topic.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A senior accountant at a logistics firm with 900 employees believes a vendor contract is a lease. She reads only the passages that support that view and skips a paragraph on substitution rights that could mean it is not a lease. The contract is written in plain English. What critical-thinking error is this?

- A. No error; experts should trust first impressions.
- B. Confirmation bias.
- C. Hindsight bias.
- D. Anchoring.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8. [TRANSFER — reversed stem / different variable]

Which practice best guards against confirmation bias in accounting research?

- A. Actively search for guidance that would support the opposite conclusion before deciding.
- B. Follow last year's treatment.
- C. Finish the research faster.
- D. Ask a colleague who already agrees.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

Researching an unusual tax credit, an analyst at a firm with 12 partners finds an anonymous forum post, a peer-reviewed journal article, and a software vendor's marketing white paper. The firm's website was redesigned in May. Beyond authoritative guidance, which is most credible, and why?

- A. The peer-reviewed article, because it has identified authors, review, and no sales motive.
- B. The white paper, because it is detailed and professional.
- C. The forum post, because it is the most recent.
- D. None; all nonauthoritative sources are equally unreliable.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

During year-end work at a furniture importer with warehouses in two ports, the CFO gives a staff accountant a clean explanation for a large, unusual journal entry posted on December 31. The CFO is friendly and has a strong reputation. What does professional skepticism require?

- A. Assume the CFO is hiding fraud and escalate immediately.
- B. Accept the explanation, given the CFO's reputation.
- C. Ignore it, since journal entries are management's responsibility.
- D. Obtain supporting documents to corroborate the explanation.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11. [TRANSFER — reversed stem / different variable]

Which statement best describes professional skepticism?

- A. Accepting management's representations as sufficient evidence.
- B. Presuming management is dishonest until proven otherwise.
- C. An attitude needed only after fraud has been found.
- D. A questioning mind that critically assesses evidence without assuming either honesty or dishonesty.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

A staff accountant writes a research memo for a partner on an inventory write-down. She lists every Codification paragraph she read in the order she found it and gives her conclusion only at the very end, without stating the facts. The partner prefers memos under two pages. How should the memo be structured?

- A. State only the conclusion, with no citations.
- B. Add every paragraph read, since longer memos are always more convincing.
- C. Keep the chronological log of research steps.
- D. Facts, issue, authoritative guidance, analysis, and a clear conclusion.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer B Concept 1

A staff accountant at a 70-person firm researching lease classification finds guidance in the FASB Codification, a large accounting firm's lease guide, and a popular accounting blog. Her manager recently passed the CPA exam. Which source is authoritative GAAP?

Target word: authoritative source **Decides:** Only the Codification is authoritative for nongovernmental GAAP.

A	Confusion set	Helpful interpretation, but nonauthoritative.
B	Correct	The single source of authoritative nongovernmental GAAP.
C	Camouflage	A credential does not make guidance authoritative.
D	Absolute language	Agreement does not turn nonauthoritative sources into GAAP.

2. Answer C Concept 1 • transfer

A researcher finds that a FASB Concepts Statement and the Codification seem to point in different directions on an issue. Which governs?

Target word: which source controls **Decides:** Concepts Statements are nonauthoritative.

A	Absolute language	Judgment applies within authoritative guidance, not instead of it.
B	Inverted operation	Reverses the hierarchy.
C	Correct	It is authoritative; Concepts Statements guide standard setting but are not GAAP.
D	Adjacent category	Authority comes from source, not date.

3. Answer B Concept 2

A public company with shareholders in 30 states is researching a revenue disclosure question. Its audit committee meets monthly. Besides the Codification, which source is also authoritative for this company?

Target word: additional authoritative source **Decides:** The company is an SEC registrant.

A	Confusion set	Nonauthoritative for GAAP since the Codification.
B	Correct	Authoritative for SEC registrants.
C	Camouflage	Governance records are not accounting guidance.
D	Adjacent category	Not authoritative for U.S. GAAP filers.

4. Answer C Concept 3

A controller at a craft brewery with \$40 million in sales is asked how to account for a new customer loyalty program. She immediately types "loyalty points" into the Codification search box. The brewery opened a taproom last year. Which step did she skip?

Target word: skipped step **Decides:** She searched before defining the issue.

A	Adjacent category	Nonauthoritative sources are not a required first step.
B	Inverted operation	Concluding comes last, not first.
C	Correct	A defined issue drives the right keywords and topics.
D	Absolute language	Unframed searches waste time and miss relevant guidance.

5. Answer C Concept 4

An accountant at a hospital network ~~with nine facilities~~ needs the disclosure requirements for a revenue topic. ~~The network's revenue grew 6% last year.~~ In the Codification, which section number holds disclosure requirements?

Target word: section number **Decides:** Disclosure is Section 50.

A	Confusion set	Section 25 is recognition.
B	Dropped element	Section 10 states objectives, not disclosure requirements.
C	Correct	Section 50 is disclosure.
D	Adjacent category	Section 45 is other presentation matters.

6. Answer A Concept 4 • transfer

A citation reads ASC 842-20-35-1. What does the “35” identify?

Target word: reverse: read a citation **Decides:** Third position is the section.

A	Correct	Topic 842, Subtopic 20, Section 35, Paragraph 1.
B	Adjacent category	The subtopic is 20.
C	Inverted operation	The paragraph is the last number, 1.
D	Confusion set	The topic is 842.

7. Answer B Concept 5

A senior accountant at a logistics firm ~~with 900 employees~~ believes a vendor contract is a lease. She reads only the passages that support that view and skips a paragraph on substitution rights that could mean it is not a lease. ~~The contract is written in plain English.~~ What critical-thinking error is this?

Target word: name the error **Decides:** Seeking only supporting evidence.

A	Absolute language	Skipping contrary guidance risks a wrong conclusion.
B	Correct	She favors evidence that supports her existing belief.
C	Adjacent category	Seeing past events as predictable after the fact.
D	Confusion set	Anchoring is over-relying on a first number or impression, not filtering evidence.

8. Answer A Concept 5 • transfer

Which practice best guards against confirmation bias in accounting research?

Target word: reverse: from bias to remedy **Decides:** Deliberately test the opposite conclusion.

A	Correct	Seeking disconfirming evidence directly counters the bias.
B	Confusion set	Relying on the status quo is a separate bias.
C	Adjacent category	Speed does not address biased evidence selection.
D	Inverted operation	Reinforces the bias.

9. Answer A Concept 6

Researching an unusual tax credit, an analyst at a firm ~~with 12 partners~~ finds an anonymous forum post, a peer-reviewed journal article, and a software vendor's marketing white paper. ~~The firm's website was redesigned in May.~~ Beyond authoritative guidance, which is most credible, and why?

Target word: most credible source **Decides:** Named experts, review process, no sales motive.

A	Correct	Expertise, review, and independence raise credibility.
B	Confusion set	Polish is not credibility; the vendor has a sales motive.
C	Adjacent category	Recency does not make an anonymous source credible.
D	Absolute language	Credibility varies widely among nonauthoritative sources.

10. Answer D Concept 7

During year-end work at a furniture importer ~~with warehouses in two ports~~, the CFO gives a staff accountant a clean explanation for a large, unusual journal entry posted on December 31. ~~The CFO is friendly and has a strong reputation.~~ What does professional skepticism require?

Target word: skeptical response **Decides:** An unusual entry needs corroborating evidence.

A	Absolute language	Skepticism does not presume dishonesty.
B	Camouflage	Reputation is not evidence.
C	Dropped element	Unusual year-end entries are a key risk to examine.
D	Correct	Skepticism means evaluating evidence, not accepting assertions alone.

11. Answer D Concept 7 · transfer

Which statement best describes professional skepticism?

Target word: reverse: define the attitude **Decides:** Balanced questioning, not trust or distrust.

A	Confusion set	Representations alone are not sufficient evidence.
B	Inverted operation	That is presumptive doubt, not skepticism.
C	Adjacent category	Skepticism applies throughout the work.
D	Correct	The standard definition.

12. Answer D Concept 8

A staff accountant writes a research memo for a partner on an inventory write-down. She lists every Codification paragraph she read in the order she found it and gives her conclusion only at the very end, without stating the facts. ~~The partner prefers memos under two pages.~~ How should the memo be structured?

Target word: memo structure **Decides:** A memo answers a question; it is not a search log.

A	Dropped element	An unsupported conclusion cannot be relied on.
B	Absolute language	Length does not add support.
C	Adjacent category	A log shows effort, not reasoning.
D	Correct	Gives the reader the question, the support, and the answer.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owled.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	3	
Wrong stem number	A figure copied from the prompt that is not the answer.	0	
Adjacent category	The right idea in the wrong bucket.	10	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	5	
Absolute language	Always, never, guarantee — where judgment applies.	7	
Confusion set	Every option is real; the test is exact role-matching.	8	
Camouflage	Answers a stem fact that was never the question.	3	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Authoritative GAAP	The FASB Accounting Standards Codification is the single source of authoritative nongovernmental GAAP; Concepts Statements, firm guides, textbooks, and blogs are nonauthoritative.	Treating respected but nonauthoritative guidance as binding.	A list of sources and “which is authoritative?”
2	SEC guidance for registrants	For SEC registrants, SEC rules and interpretive releases are also authoritative alongside the Codification.	Assuming IFRS or AICPA guides are authoritative for a U.S. public company.	A public company and a source other than the Codification.
3	The research process	Identify the issue and facts, frame the question and keywords, search authoritative sources, evaluate alternatives, then conclude and document.	Jumping straight into keyword searches before defining the issue.	Someone searches before stating the question.
4	Codification structure	Citations run Topic-Subtopic-Section-Paragraph (e.g., 606-10-25-1); common sections: 25 recognition, 30 initial measurement, 35 subsequent measurement, 45 other presentation, 50 disclosure.	Mixing up recognition, presentation, and disclosure sections.	A citation or a request for a specific kind of guidance.
5	Confirmation bias	Confirmation bias is seeking or weighting only evidence that supports an existing belief; counter it by searching for disconfirming guidance.	Confusing it with anchoring, or answering it with more agreeing opinions.	Reading only the passages that support a view already held.
6	Credibility of nonauthoritative sources	Judge sources by expertise, review process, independence, and evidence; commercial motive and anonymity reduce credibility.	Trusting polish, recency, or detail as proof of credibility.	Several nonauthoritative sources of mixed quality.
7	Professional skepticism	A questioning mind that critically assesses evidence, neither assuming dishonesty nor accepting explanations without support.	Accepting a trusted person's explanation without corroboration, or presuming fraud.	An unusual item and a smooth explanation from management.
8	Structure of a research memo	A research memo states facts, issue, authoritative guidance, analysis, and a clear conclusion, written for its reader.	Writing a log of everything searched with the conclusion buried at the end.	A memo that lists steps instead of answering the question.

Course scope (public description): Accounting Research and Critical Thinking provides learners the skills and knowledge to research and add validity to accounting reports, resolution of issues, and procedural arguments: critical thinking, communication, research strategies, and database resources.